

Global Debt Crisis: Educational Workbook

Companion Guide to "Every Country is in Debt... Who is Lending the Money?"

How to Use This Workbook

This workbook is designed to help you reflect on the educational content from the video and apply the concepts to your own financial education journey. Work through each section, answer the questions thoughtfully, and use the space provided to take notes.

Important: This workbook is for educational purposes only. It does not provide financial advice. Always do your own research and consult with qualified professionals before making investment decisions.

Part 1: Understanding the Global Debt Picture

Global Public Debt: \$111 Trillion (95% of World GDP)

According to the latest OECD and Institute of International Finance data, global public debt has reached unprecedented levels:

- **United States:** \$38.27 trillion (\$105,000 per person, \$266,000 per household)
- **China:** \$18.68 trillion
- **Japan:** \$9.83 trillion (230% debt-to-GDP ratio)

The U.S. is now paying **\$1 trillion per year** just in interest payments—that's \$3 billion every single day, more than the entire military budget.

Reflection Question 1:

Before watching this video, were you aware of how large the global debt problem has become? How does knowing that the U.S. household debt share is \$266,000 change your perspective on national fiscal policy?

The Key Insight: We Are Lending to Ourselves

The video explains that the circular debt system works like this:

1. **Government needs money** → Issues Treasury bonds (IOUs)
2. **Primary dealer banks** (JPMorgan, Goldman Sachs, etc.) buy these bonds
3. **Federal Reserve** buys bonds from banks using newly created money
4. **Money flows into the economy** → Stock market, real estate, asset prices rise

Major holders of U.S. debt include:

- Federal Reserve: \$6+ trillion
- U.S. citizens (pensions, 401ks, banks): \$19.9 trillion
- Foreign countries (Japan: \$1.1T, China: \$749B)
- Intragovernmental holdings: \$7.3 trillion

Reflection Question 2:

Does it surprise you that your retirement account (401k, pension) may be lending money to the government? How does this circular system change your understanding of who "owns" the national debt?

Part 2: Historical Lessons on Debt and Currency

History provides clear patterns of what happens when governments face debt crises:



Roman Empire (265 AD)

- Debased silver coins from 100% silver to less than 5% silver
- Result: 1,000% inflation in some areas, trade collapsed
- **Winners:** Landowners and those with tangible assets
- **Losers:** Savers and wage earners



Weimar Germany (1923)

- Hyperinflation: \$1 USD = 4.2 trillion German marks
- A loaf of bread cost 200 billion marks
- **Winners:** Borrowers who paid off debts with worthless currency, asset owners
- **Losers:** Savers and people on fixed incomes



Nixon Shock (1971)

- Dollar decoupled from gold—no longer backed by physical assets
- Since 1971: Dollar lost 85% of purchasing power, S&P 500 up 3,000%+
- **Winners:** Stock and real estate owners
- **Losers:** Cash holders



The Pattern: In every debt crisis, wealth transfers from cash/savers to asset owners

Reflection Question 3:

What common thread do you see in these three historical examples? If you had to explain to a friend why "holding assets is different from holding cash" during inflationary periods, how would you explain it?

Part 3: The Wealth Transfer Mechanism

Inflation acts as a **hidden tax**. Here's how the wealth transfer works:

✗ Cash Holder

Starting amount: \$100,000

After 10 years at 5% inflation:

Purchasing power: \$61,000

Real loss: \$39,000

✓ Stock Investor

Starting amount: \$100,000

After 10 years at 10% annual return:

Value: \$259,000

Real gain: \$159,000

The video explains that 3.4 billion people live in countries where government spending on interest payments exceeds spending on either health or education. The money flows from taxpayers to bondholders—primarily wealthy individuals and institutions.

Reflection Question 4:

Looking at the comparison above, how does this change your thinking about where you keep your money? What percentage of your savings currently sits in cash vs. invested in assets?

Part 4: Asset Positioning for Education

The video outlines specific asset classes to consider researching and those to potentially avoid. Remember: This is educational content, not financial advice.

✓ Assets to Research (Consider for Education)

1. **Stocks with Pricing Power:** High-quality companies that can raise prices during inflation (historically ~10% annual returns since 1926)
2. **Real Estate:** Tangible assets that typically appreciate as currency loses value; mortgages paid with cheaper dollars over time
3. **Commodities:** Energy, precious metals (gold went from \$35/oz in 1971 to \$2,000+ today)
4. **TIPS:** Treasury Inflation-Protected Securities with principal that adjusts with inflation
5. **International Exposure:** Selective diversification in emerging markets with better fiscal positions

✗ Assets to Potentially Avoid (According to the Analysis)

1. **Long-Term Fixed Bonds:** Locking in returns below inflation = negative real returns
2. **Excessive Idle Cash:** Keep 3-6 months emergency fund, but large cash holdings lose purchasing power
3. **Overexposure to Single Asset:** Diversification provides protection across different scenarios

Reflection Question 5:

Based on this educational framework, which asset classes do you want to research further? What questions would you need answered before making any changes to your portfolio?

Part 5: The Wall Street Selling Rulebook

The video emphasizes that **when you sell is more important than what you buy**. Here are the five rules professional investors use:

- ☐ **Rule #1: Set a profit target before you enter.** Know your exit price before you buy. Write it down. When you hit it, sell.
- ☐ **Rule #2: Never let a winner turn into a loser.** Use trailing stop losses to protect gains. If a position is up significantly, protect those profits.
- ☐ **Rule #3: Cut losses fast.** If an investment drops 7-8%, consider exiting. Small losses are manageable; big losses are devastating.
- ☐ **Rule #4: Rebalance quarterly.** Every 3 months, review your allocation. Sell high, buy low, return to target percentages.
- ☐ **Rule #5: When the Fed pivots, you pivot.** Pay attention to Federal Reserve policy. Rate cuts/QE = risk-on. Rate hikes = defensive.

Professionals spend 10% of energy finding opportunities and 90% managing risk and exits

Reflection Question 6:

Do you currently have profit targets and stop losses for your investments? Which of these five rules would be most valuable for you to implement first?

Part 6: Your Educational Action Plan

Here are five steps you can take to continue your investment education:

☐ **Step 1: Audit Your Portfolio.** Write down your current allocation. How much is in cash, bonds, stocks, real estate, commodities?

☐ **Step 2: Research Asset Classes.** Study the asset classes mentioned. Educate yourself on how they perform in different economic environments.

☐ **Step 3: Develop a Selling System.** For each investment, establish clear rules for when you would take profits or cut losses.

☐ **Step 4: Follow Federal Reserve Policy.** Start tracking Fed statements, interest rate decisions, and balance sheet changes.

☐ **Step 5: Continue Your Education.** Seek out quality educational resources, mentorship, and institutional-level research.

Timeline Expectations (From the Video)

Short-term (6-12 months): Continued volatility as the Fed manages inflation. Use volatility to research quality assets when others panic.

Medium-term (1-3 years): Inflation likely remains elevated (4-5% range). Fed may eventually cut rates. Risk assets could rally, but expect choppiness.

Long-term (5-10 years): Potential shift toward new monetary systems (digital currencies, multipolar reserve system). Real asset owners positioned better than cash holders.

Reflection Question 7:

What is one specific action you will take this week to improve your investment knowledge? How will you measure your progress?



Personal Notes & Key Takeaways

Use this space to write down your most important insights from the video and this workbook:

You're tired of watching your money sit idle while inflation eats away at your purchasing power, aren't you? While others struggle with investment decisions, educated investors are building their knowledge with research-backed strategies. Felix & Friends provides educational resources and research to help inform your investment decisions.

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- ✓ Starter Stocks List - 12 companies we believe have strong fundamentals
- ✓ Community Forum Access - Connect with fellow investors sharing strategies
- ✓ 2 Daily BetterStocksGPT Searches - Access to our proprietary research tool
- ✓ Bonus Reports - In-depth insights
- ✓ Bonus Portfolio Review Call (\$149 value) - Comprehensive discussion of your current holdings

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